



Study Notes

Government Receipts

Introduction

- There are two types of receipt

- ✓ **Capital Receipts:**

Receipts which either create liability or reduce assets

- ✓ **Revenue Receipts:**

Receipts that neither generate liability nor reduce assets

- Capital receipts are loans taken by the government from the public, borrowings from foreign countries, institutes, and RBI

- Recovery of loans given by the Centre to states and others is also included in capital receipt

- The capital receipt has a nature of non-recurrence.

- All capital receipts are tax-free, unless there is a proviso to tax it.

- Revenue Receipts cannot be reclaimed back by the citizens from the government (non-redeemable).

- Revenue Receipts** are classified into two main categories

- ✓ **Tax revenue receipts:** Come from direct taxes or indirect taxes. (Discussed in detail in separate chapter)

- ✓ **Non-Tax revenue Receipts:** Those receipts which are not generated by taxing the public, example

- Money, that Government earns as “Dividends and profits” from its profit making public enterprises (PSUs).
- Interest earned by Government on the money lent to external or internal borrowers.
- Money that government receives out of its fiscal services such as stamp printing, currency printing, medal printing etc.
- Money earned by the Government earned by providing “General Services” such as power distribution, irrigation, banking services, insurance, and community services etc.
- Fees, fines, penalties etc. are accrued by the government
- Grants received from the external sources.

- Capital receipts can be both non-debt and debt receipts

- ✓ **Non-debt receipts** are those which do not incur any future repayment burden for the government.

- Almost 75 per cent of the total budget receipts are non-debt receipts.

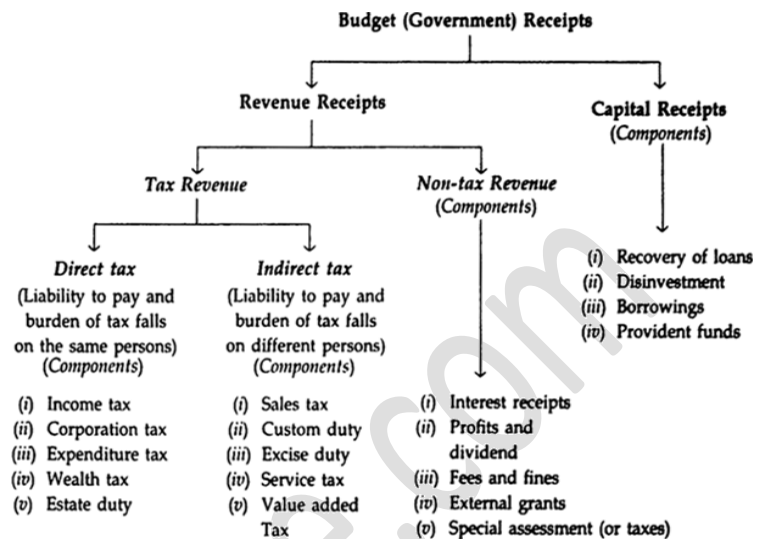


Figure 1: Components of Government Receipts

Source: web search

- Example: Recovery of loans and advances, disinvestment, issue of bonus shares, etc.
- ✓ **Debt Receipts** have to be repaid by the government
 - Around 25 per cent of government expenditure is financed through borrowing
 - Example: Market loans, issuance of special securities to public-sector banks, issue of securities, short-term borrowings, treasury bills, securities against small savings, state provident funds, relief bonds, saving bonds, gold bonds, external debt, etc.

Tax: Introduction

- Tax is a compulsory payment levied on the persons or companies to meet the expenditure incurred on conferring common benefits upon the people of the country
- Two aspects of taxes are
 - ✓ A tax is a compulsory payment and no one can refuse to pay it
 - ✓ Proceeds from tax are used for common benefits
- Fee is compulsory payment made by a person who receives in return a particular benefit or service from the government
- **Classification of taxes**
 - ✓ Direct and Indirect Taxes
 - ✓ Specific and Ad-Valorem Taxes
 - ✓ Progressive, Proportional, Regressive Taxes and Digressive

Principles or canons of good tax system

- Four canons (Adam Smith)
 - ✓ Equality
 - ✓ Certainty
 - ✓ Convenience
 - ✓ Economy
- Other Principles or characteristics of a good taxation system
 - ✓ Productivity or Fiscal Adequacy
 - ✓ Elasticity of Taxation
 - ✓ Diversity
 - ✓ Taxation as an instrument of Economic Growth
 - ✓ Taxation as an instrument for improving income distribution
 - ✓ Taxation for ensuring Economic Stability
- A good tax system should possess the following characteristics
 - ✓ **Revenue Adequacy:** A good tax system should generate adequate revenue for the government
 - ✓ **Equity:** tax burden should be distributed in equitable manner
 - ✓ **Efficiency:** Tax system should not interfere with the efficient allocation of resources
 - ✓ **Administrative Simplicity:** The tax structure should be simple to administer

- ✓ **Transparency:** The levying of taxes and spending of tax proceeds should be done in a transparent manner.
- **Principle of Equity in Taxation**
 - ✓ **Benefit Receive theory:** As per it, the individuals should contribute to government revenue according to the benefits they receive from public services
 - ✓ **Ability to pay theory:** It states that individuals should contribute towards government revenue according to their ability to pay.

Types of tax based on relation of tax rate and Income

Proportional	Progressive tax	Regressive	Digressive
✓ Tax rate remain constant ✓ Also called as flat rate tax ✓ Vary in direct proportion to the increase or decrease in income ✓ Takes the same percentage of income from all income groups ✓ $\Delta T = \Delta Y$ ✓ $ATR = MTR$	✓ Based on taxpayer's ability to pay ✓ Tax rate $\uparrow$ with $\uparrow$ in income ✓ Takes a larger percentage of income from high-income groups than from low-income groups ✓ Leads to more income equality ✓ ATR increases with the size of the base ✓ $\Delta T > \Delta Y$ ✓ $ATR < MTR$	✓ Tax rate $\downarrow$ with $\uparrow$ in income ✓ Opposite of progressive tax. ✓ ATR declines as the tax base increases ✓ $\Delta T < \Delta Y$ ✓ $ATR > MTR$	✓ Tax rate $\uparrow$ initially with increase in income then become constant ✓ Payable tax increases at a diminishing rate but up to a certain limit beyond which a flat rate of tax is charged.

Note: MTR is marginal Tax rate = $\frac{\Delta \text{Total Taxes paid}}{\Delta \text{Value of the Tax Base}}$

ATR is Average Tax rate = $\frac{\text{Total Taxes paid}}{\text{Value of the Tax Base}}$

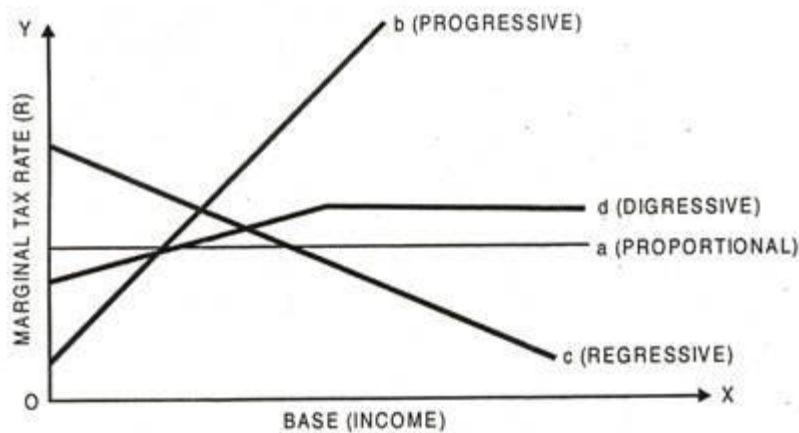


Figure 2: Progressive, Regressive, proportional and Digressive tax

Source: web search